Inventory Register Analysis Memo

Client	Meridian Capital Group, LLC
Fiscal Year End	—
Period	FY 2025 (January 1 – December 31, 2025)
Source Document	Inventory Listing — FY2025 Export
Source File	meridian_inventory_fy2025.csv
Source Context	Exported from Meridian ERP (QuickBooks Enterprise) on Jan 15, 2026
Reference	INV-2026-1023-202
Generated	23rd October 2026
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Engagement Reviewer	James R. Whitfield, CPA, CIA
Report Status	Draft

Report generated by Paciolus® Diagnostic Intelligence. Engagement information entered by user.

I. Scope

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Source ... Inventory Listing — FY2025 Export (meridian_inventory_fy2025.csv)
Period Tested ... FY 2025 (January 1 – December 31, 2025)
Total Inventory Items Tested ..... 768
Tests Applied ..... 9
Data Quality Score ..... 88%
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The automated inventory register analysis procedures documented in this workpaper were performed on the inventory listing and valuation data provided by management for the period under examination. These procedures are designed to identify potential data anomalies that may warrant further investigation by the engagement team. The analysis was performed with reference to the FASB Accounting Standards Codification and applicable professional auditing standards.

Proof Summary

Metric	Value
Data Completeness	88%
Column Confidence	85%
Tests Executed	9
Tests Clear	0
Items for Review	131

II. Methodology

The following automated tests were applied to the inventory register in accordance with professional auditing standards (ASC 330-10: Inventory, ISA 501: Audit Evidence — Specific Considerations for Selected Items, ISA 500: Audit Evidence, ISA 540: Auditing Accounting Estimates — NRV estimation and obsolescence indicators, PCAOB AS 2501: Auditing Accounting Estimates). Results represent inventory anomaly indicators, not NRV adequacy conclusions:

Test	Tier	Description
Missing Required Fields	Structural	Flags inventory entries missing critical register fields (identifier, quantity, cost or value), a data completeness anomaly indicator per ISA 500.
Negative Quantities/Costs	Structural	Flags items with negative quantity, unit cost, or extended value, indicating data entry errors, returns, or adjustments requiring review.
Extended Value Mismatch	Structural	Flags items where quantity times unit cost differs from extended value by more than the tolerance threshold, indicating calculation or data integrity anomalies.
Unit Cost Z-Score Outliers	Statistical	
Quantity Z-Score Outliers	Statistical	
Slow-Moving Inventory	Statistical	Flags items with no movement activity beyond the configured threshold period, an obsolescence anomaly indicator per ISA 540 (not an NRV determination).

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Test	Tier	Description
Category Concentration	Statistical	Flags disproportionate concentration of total inventory value in a single category, indicating potential valuation or diversification anomalies.
Duplicate Items	Advanced	Flags items with identical description and unit cost, indicating potential double-counting or duplicate record anomalies.
Zero-Value Items	Advanced	

Interpretive Context: The results presented herein reflect automated data analytics and are intended to support, not replace, professional judgment. Identified anomalies may indicate areas requiring additional inquiry but do not, in themselves, constitute evidence of error, fraud, or material misstatement. The engagement team should evaluate each flagged item in the context of the overall engagement risk assessment and perform corroborating procedures as deemed necessary under applicable professional standards.

III. Results Summary

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Composite Diagnostic Score ................. 15.2 / 100
Diagnostic Tier ..................... MODERATE (15/100)
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Diagnostic Score Scale: 0–10 = Low | 11–25 = Moderate | 26–50 = Elevated | 51–100 = High

Basis: automated flag density — auditor judgment required per ISA 315. The diagnostic tier is an indicator, not a risk assessment or a conclusion on internal control.

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Total Inventory Items Flagged ..................... 131
Overall Flag Rate ............................... 17.1%
High Severity Flags ................................ 7
Medium Severity Flags ............................. 109
Low Severity Flags ................................ 15
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Test	Flagged	Rate	Severity
Slow-Moving Inventory	89	11.6%	MEDIUM
Zero-Value Items	14	1.8%	LOW
Missing Required Fields	7	0.9%	MEDIUM
Unit Cost Z-Score Outliers	6	0.8%	MEDIUM
Duplicate Items	5	0.7%	HIGH
Extended Value Mismatch	4	0.5%	MEDIUM
Quantity Z-Score Outliers	3	0.4%	MEDIUM
Negative Quantities/Costs	2	0.3%	HIGH
Category Concentration	1	0.1%	LOW

Although all tests flagged items, the majority of flagged findings are low-to-medium severity slow-moving inventory indicators. The composite diagnostic score reflects weighted severity, not test pass rate. A low composite score with zero clear tests indicates broad but low-severity data quality flags rather than concentrated high-risk anomalies.

IV. Key Findings

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1. 89 items with no movement in 180+ days — potential obsolescence ($234,500 value)

2. 5 potential duplicate items (identical description + unit cost)

3. 4 items where extended value ≠ quantity × unit cost

4. 14 items with zero recorded value but positive quantity on hand

V. Inventory Turnover

Inventory Turnover: Requires COGS input — not available from inventory register. To compute inventory turnover (COGS / Average Inventory), cost of goods sold data from the income statement must be provided separately. This analysis is limited to the inventory register data and cannot derive turnover metrics without external COGS input.

VI. Authoritative References

Body	Reference	Topic	Status
FASB	ASC 330-10	Inventory — Overall	Current

VII. Conclusion

Based on the automated inventory register analysis procedures applied, the inventory data returned MODERATE flag density across the automated tests. Flagged items warrant focused review as inventory anomaly indicators, particularly slow-moving items and unit cost outliers.

Limitations

This report was prepared using Paciolus Diagnostic Intelligence and is intended to support the professional judgment of the engagement practitioner. The procedures reflected herein are analytical and diagnostic in nature and do not constitute an audit, review, compilation, or attestation engagement as defined under AICPA professional standards or PCAOB auditing standards. Findings and observations require independent corroboration before conclusions may be drawn.

Practitioner information appearing on the cover of this report is provided by the user and reflects the engagement team responsible for applying professional judgment to this output. Paciolus does not review, endorse, certify, or assume responsibility for conclusions drawn by the engagement practitioner. The presence of practitioner credentials in this report does not constitute a representation by Paciolus regarding the quality or completeness of any professional engagement.

Zero-Storage Architecture: All financial data was processed in-memory during this analysis session and was not persisted to any storage medium. No client financial data is retained by Paciolus after the analysis session concludes.

This memo documents automated inventory register analysis testing procedures with reference to ISA 500 (Audit Evidence) and ISA 540 (Auditing Accounting Estimates). Results represent data anomalies identified through analytics and are not conclusions regarding internal control effectiveness, fraud, or material misstatement risk. The auditor must evaluate each flagged item in the context of the engagement and perform additional procedures as necessary per professional standards. This memo does not constitute audit evidence sufficient to support an opinion without corroborating procedures. Generated by Paciolus — Zero-Storage Audit Intelligence.

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